AOU
الجامعة العربية المفتوحة
Arab Open University
Egypt

Faculty of Business Administration

FIN341
Islamic Finance
Version B

Final Examination
2024-2025 / Fall

8-Jan-2025

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Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 Hours

ıstructions:

ake **FIVE (5)** minutes to read all instructions carefully before attempting to write.
lobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
ıis is a **CLOSED** book examination. NO documents of any kind are allowed.
ou **MUST** answer the questions using only the answer booklets provided
ou **MUST** return the examination paper together with your answer booklets.
NOT write your answers in pencil except graphs/sketches
ıdents are **NOT** allowed to use any type of dictionary or mobile phones during the examina
ıdents are allowed to use ***non-programmable*** calculators only (if needed).
y form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Solve All questions

Question 1: (15 marks) (10 min)

Ihsan.co reveals $7,000 as Assets value for December 2023 and allocate 10% of assets' value as standard deviation of its monthly profit.

Required: Calculate PaR (consider $Z\alpha = 1.23$ for the present confidence interval). **Tip: PaR = $Z\alpha * \sigma p * \sqrt{T}$**

Question 2: (15 marks) (15 min)

The Oman Islamic investment bank accepts deposited savings of $165 million. The bank invests this in the form of equity shares. Producing firms use this capital to buy machinery and raw materials, and to expand their production capacity. Because of sales of their goods and services, the recipients of the $165 million are assumed to save 27% of their income.

Tip: as $1/(1-s)$

Required:

1. Calculate the saving multiplier and explain its relationship to the average saving ratio then the relationship between saving ratio and the accumulated savings.
2. Quantify the effect of the saving multiplier on the initial saving deposit of $165 million.

Question 3: (15 marks) (15 min)

Al Ittihad Islamic bank provides murabahah financing to Mano Co. to finance its investing activities for $2,490 (asset). Mano Co. faces two scenarios: the first with no pledge collateral and the second with pledged collateral worth $150 thousands.

Required:

Calculate the risk weight of the investment (asset) for the **two** scenarios (without and with pledge collateral).

Question 4: (15 marks) (15 min)

The list below shows a number of accounts (in millions of USD) used while preparing the balance sheet of Islamic Bank of Singapore:

1. Short-term trade Finance (Cash, murabaha, Salam) : 14
2. Equity capital : 10
3. Non-banking assets (property) : 22
4. Medium-term investments (ijarah, istisna') : 15

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5. Long-term partnerships (musharakah) : 22
6. Demand deposits (amanah) : 32
7. Fee-based services (jo'alah, kifala) : 5
8. Reserves : 12
9. Investment accounts (mudarabah) : 10
10. Special investment accounts (mudarabah, musharakah) : 14

Required:

Prepare the Balance sheet of Islamic Bank of Singapore based on maturity profile.

Question 5: (25 marks) (30 min)

Indonesia Islamic Bank buys a portfolio of recently issued government bond worth $1,500 (in millions) through the process of money creation. On the spot, the government (issuer of bonds) deposits the proceeds with HSBC bank noting that the reserve - requirement ratio is equal to 15% of deposits.

Required:

1. Show the process of money creation by constructing the balance sheets of the first 5 banks in process
2. What is the driver/ engine of the process of money creation?
3. Explain its relationship with the reserve requirement ratio.
   Then show and explain the balance sheet of the banking system.

Question 6: (15 marks) (15 min)

Explain how Islamic and conventional banks react to liquidity crisis

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End of Questions

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